

Unlevered Free Cash Flow (mm)		
Fiscal Year	2021	2022
Revenue	27.842,00	30.871,00
COGS	7.950,00	8.930,00
Gross Profit	19.892,00	21.941,00
Operating Expenses	11.872,00	13.000,00
Total Operating Expenses	11.872,00	13.000,00
EBITDA	8.020,00	8.941,00
Depreciation und Amortization	1.750,00	1.850,00
Operating Profit (EBIT)	6.270,00	7.091,00
Operating Taxes	1.881,00	2.127,00
NOPAT	4.389,00	4.964,00
Depreciation und Amortization	1.750,00	1.850,00
Capital Expenditures(CapEx)	820,00	910,00
Change in NWC	210,00	260,00
NWC	2.850,00	3.110,00
Current Operating Assets	8.950,00	9.540,00
Current Operating Liabilities	6.100,00	6.430,00
Unlevered Free Cash Flow (mm)	5.109,00	5.644,00
Discount Factor		
Discounted FCFF		

Assumption		
Fiscal Year	2021	2022
Revenue Growth		10,88%
COGS % of Revenue	28,55%	28,93%
SG&A % of Revenue		
Tax % of EBIT	30,00%	30,00%

WACC	0,0651
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WACC Assumptions

Figures in EUR million.

Assumptions	Value
Risk-Free Rate (Germany 10Y Bund)	2,95%
Beta (5Y Monthly)	0,74
Equity Risk Premium (Germany)	5,00%
Cost of Equity	6,65%
Financial Debt	6.150,00 €
Tax Rate	29%
Pre-tax Cost of Debt	4%
After-tax Cost of Debt	2%
Net Liquidity	3.381,00 €
Market Cap	181.995,00 €
Issued Share	1.229,00 €
Equity Weight	0,9673
Debt Weight	0,0327
WACC	0,0651

	2026E	2027E	2028E	2029E
FCFF	7665,57	8573,54	9555,88	10582,66
Discount Factor	0,94	0,88	0,83	0,78
Discounted FCFF	7196,76	7556,93	7907,66	8221,76
Terminal Growth (Base Case)	2%			
FCFF 2030	10794,32			
Terminal Value	239119,209			
PV of Terminal Value	185773,78658			
PV of Forecast Period	30883,11			
Enterprise Value	216656,90			
Net Debt	-3.381,00 €			
Equity Value	220.037,90 €			
Intrinsic Value per Share	179,04 €			

Metric	Value
Current Price	165,00 €
Intrinsic Value	179,04 €
Upside	8,50%
Recommendation	HOLD

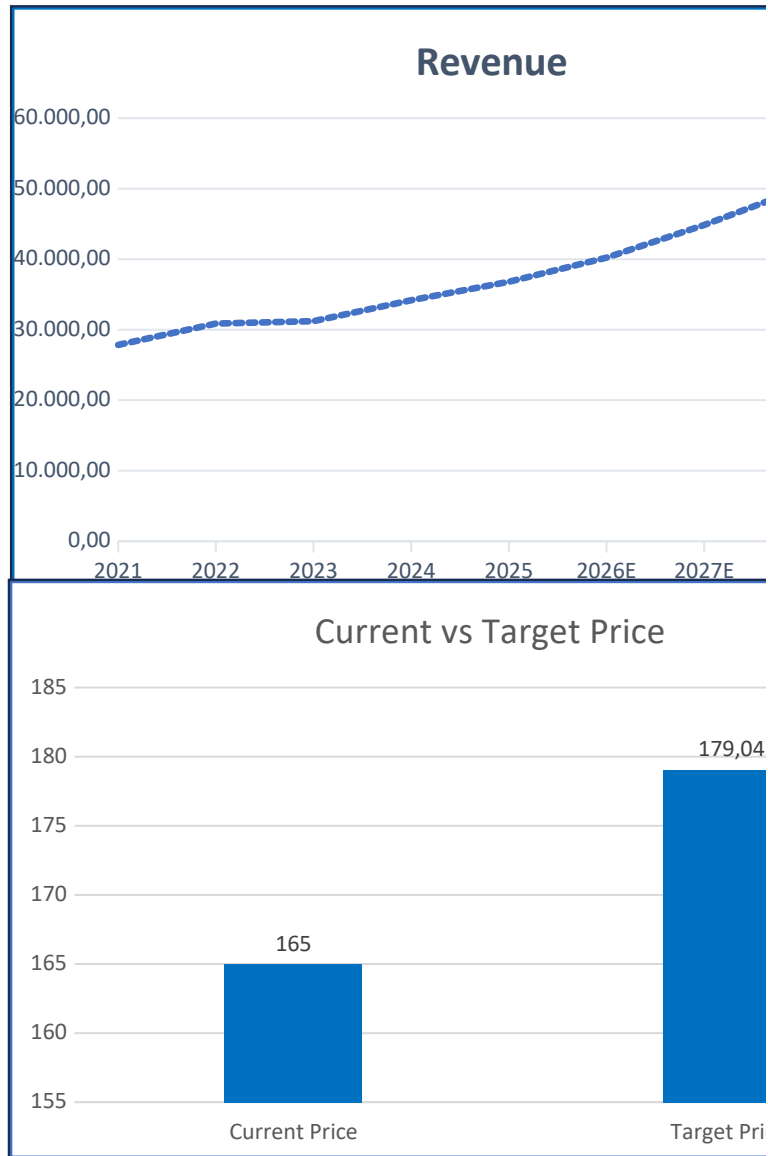
Sensitivity Analysis

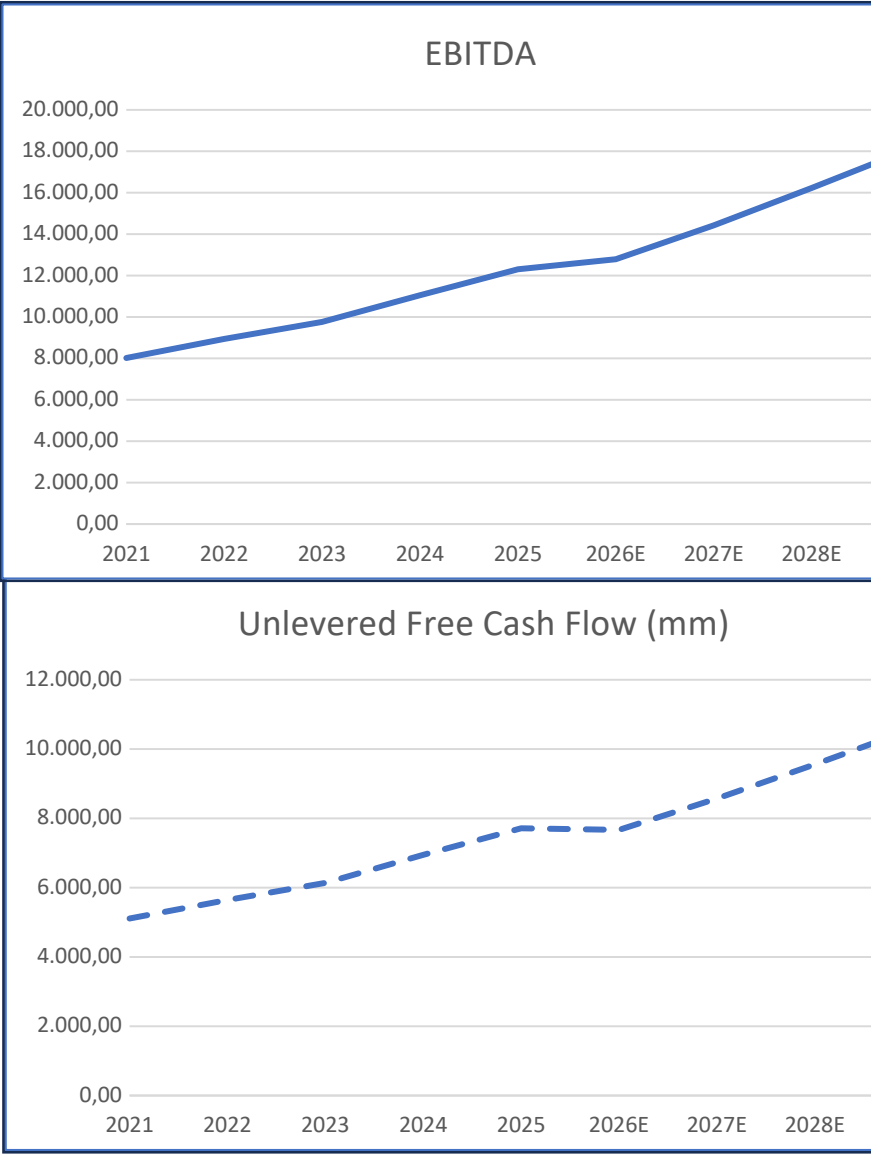
Intrinsic Value per Share

WACC/g	1,50%	2,00%	2,50%	3,00%
5,50%	197,63	222,84	256,45	303,50
6,00%	178,77	198,47	223,80	257,56
6,50%	163,68	179,52	199,31	224,75
7,00%	151,34	164,35	180,26	200,14
7,50%	141,05	151,95	165,02	181,00



SAP SE
Discounted Cash Flow Valuation
August 2026
Prepared by Tolga Kilic





Metric	Value
Current Price	165
Target Price	179,04
Upside	8,50%
Recommendation	HOLD



"Source: SAP Annual Report, Yahoo Finance, Author's Es

